

Express View on Trump's 50 per cent tariffs on India: Bracing up

From **edging** closer to signing a trade deal in early July, to the **imposition** of a 25 per cent penalty on August 6, on top of a 25 per cent tariff **levied** just a few days earlier, India-US trade relations have now moved into **uncharted** territory. While the additional tariffs will **come into play** in 21 days, opening up a possible **window** for **negotiations** — US trade **negotiators** are **slated** to arrive in Delhi on August 25 — the **weaponisation** of tariffs by US President Donald Trump to achieve what seem to be both trade and non-trade objectives, **has** placed India at a **considerable** disadvantage when compared to competitors such as Vietnam and Indonesia. **In the face of** this **mounting** pressure, India must **stand firm**, put its national interest first.

Not surprisingly, Trump's action has **evoked** a strong response. Calling it “unfair, **unjustified** and unreasonable”, the Narendra Modi government has said it will take “all actions necessary to protect its national interests”. As it continues the trade talks with the Trump administration, it may be possible to offer more **concessions** in certain segments, there may be **room** for greater give and take. But, at the same time, Delhi should stay with its **red lines** in the face of mounting pressure in sectors such as agriculture and dairy — politically **contentious** areas, which are **critical to** the **livelihoods** of large sections of the Indian labour force. On Thursday, speaking at the M S Swaminathan Centenary International Conference in Delhi, Prime Minister Narendra Modi **emphatically stated** the government's position: “India will never **compromise** on the interests of its farmers, livestock rearers and fisherfolk”.

India's **purchase** of discounted Russian oil, which has ensured price **stability** in the global oil market, **was** a **pragmatic** move to secure its energy supplies. But with Trump raising the costs of continuing with this trade — as he attempts to **curb** the flow of money to Russian President Vladimir Putin, **ostensibly** to end the conflict in Ukraine — the same **hard-headed realism** must guide Delhi's approach now. **Imports** of Russian oil **were** at 1.6 million barrels per day in July, down 24 per cent from the month before, as per a report in this paper. The cost-benefit **analysis** of **relying on** one source of supply **to such a large extent**, however, **must** be **seen only through the prism** of India's interests — not **dictated** by Trump. **Goldman Sachs**, an investment firm, **has estimated** that the **steep** tariff on India could **bring down** economic growth by around 0.6 percentage points. But who India should trade with, or for that matter, which grouping it should be part of — Trump has in the past also taken **umbrage** at BRICS — should be guided by India's interests alone. Such issues should, in any case, not be part of trade talks between the two countries.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

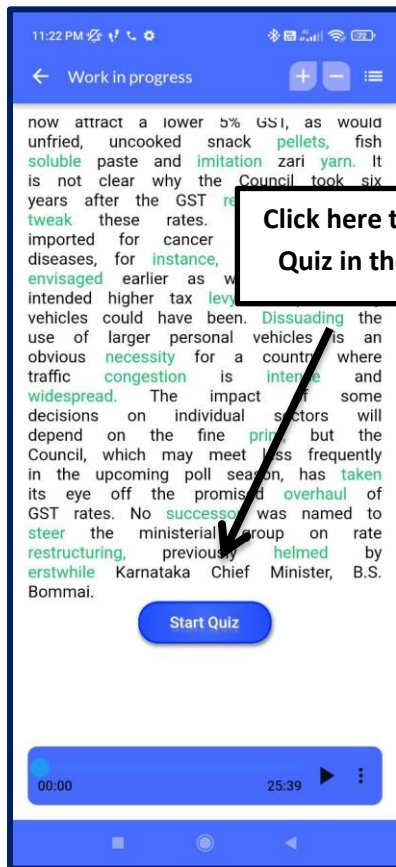
1. **Brace up** (phrasal verb) – prepare, strengthen, gear up, ready oneself, fortify
खुद को तैयार करना
2. **Edge** (verb) – move gradually, inch, approach, advance, shift धीरे-धीरे बढ़ना
3. **Imposition** (noun) – enforcement, application, implementation, introduction, levy थोपना
4. **Levy** (verb) – impose, charge, collect, demand, assess कर लगाना
5. **Uncharted** (adjective) – unknown, unexplored, unfamiliar, unmapped, untested अज्ञात
6. **Come into play** (phrase) – become active, take effect, start working, operate, begin लागू होना
7. **Window** (noun) – opportunity, chance, opening, slot, time-frame अवसर
8. **Negotiation** (noun) – discussion, dialogue, deliberation, bargaining, talk बातचीत
9. **Negotiator** (noun) – mediator, envoy, representative, delegate, intermediary वार्ताकार
10. **Slate** (verb) – schedule, plan, arrange, set, assign तय करना / निर्धारित करना
11. **Weaponisation** (noun) – militarization, armament, use as a weapon, strategic use, arming हथियार बनाना
12. **Considerable** (adjective) – significant, substantial, notable, major, important महत्वपूर्ण
13. **In the face of** (phrase) – despite, amid, confronting, even with, in spite of के बावजूद
14. **Mounting** (adjective) – increasing, rising, growing, escalating, building बढ़ता हुआ
15. **Stand firm** (phrase) – hold strong, remain determined, not yield, resist pressure, stay resolute अडिग रहना
16. **Evoke** (verb) – provoke, trigger, arouse, elicit, bring out उत्पन्न करना
17. **Unjustified** (adjective) – unfair, unwarranted, baseless, groundless, improper अनुचित
18. **Concession** (noun) – compromise, allowance, adjustment, exception, relaxation रियायत
19. **Room** (noun) – space, scope, opportunity, capacity, margin गुंजाइश
20. **Red line** (noun) – boundary, limit, point of no compromise, threshold, restriction सीमारेखा
21. **Contentious** (adjective) – controversial, debatable, disputed, argumentative, polemic विवादास्पद

22. **Critical** (to) (adjective) – crucial, essential, vital, key, significant अत्यावश्यक
23. **Livelihood** (noun) – income, living, employment, occupation, sustenance आजीविका
24. **Emphatically** (adverb) – firmly, strongly, assertively, forcefully, decisively ज़ोर देकर
25. **State** (verb) – declare, say, announce, express, articulate बताना / कहना
26. **Stability** (noun) – steadiness, balance, firmness, security, constancy स्थिरता
27. **Pragmatic** (adjective) – practical, realistic, sensible, rational, logical व्यावहारिक
28. **Curb** (verb) – control, limit, restrain, suppress, reduce रोक लगाना
29. **Ostensibly** (adverb) – apparently, seemingly, supposedly, allegedly, outwardly प्रकट रूप से
30. **Hard-headed** (adjective) – realistic, practical, tough-minded, unsentimental, rational व्यावहारिक
31. **Realism** (noun) – practicality, pragmatism, rationality, logic, reason यथार्थवाद
32. **Rely** (on) (verb) – depend, trust, count on, lean on, bank on निर्भर रहना
33. **To a such extent** (phrase) – so much, to such a degree, greatly, highly, significantly इतनी हद तक
34. **Seen through the prism** (phrase) – viewed through the lens, interpreted, perceived, analyzed, understood दृष्टिकोण से देखना
35. **Dictate** (verb) – command, order, determine, prescribe, influence निर्देश देना
36. **Estimate** (verb) – assess, evaluate, calculate, predict, gauge अनुमान लगाना
37. **Steep** (adjective) – high, excessive, sharp, intense, extreme अत्यधिक
38. **Bring down** (phrasal verb) – reduce, lower, decrease, cut, drop घटाना
39. **Umbrage** (noun) – offense, resentment, indignation, irritation, annoyance नाराज़गी

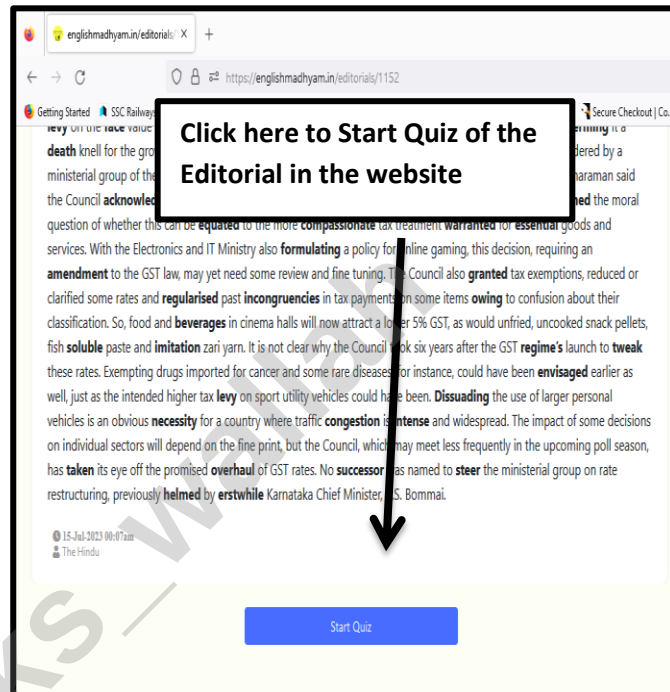
Summary of the Editorial

1. US Tariff Hike: President Donald Trump has imposed a total 50% tariff on Indian goods — a 25% penalty on top of a prior 25% tariff.
2. Break in Trade Progress: This marks a sudden shift, as India and the US were close to a trade deal in early July.
3. Tariffs as a Weapon: Trump is weaponising tariffs not just for trade gains but also to achieve non-trade strategic objectives.
4. India's Competitive Disadvantage: These measures place India at a disadvantage compared to countries like Vietnam and Indonesia, which now look more attractive to US businesses.
5. India Must Hold Ground: India is advised to stand firm and prioritize national interest, even amid US pressure.
6. Strong Indian Response: The Indian government has condemned the tariffs as “unfair, unjustified, and unreasonable”.
7. Readiness to Negotiate: While India is open to concessions in some sectors, it must protect key red lines, especially in sensitive areas.
8. Protection of Agriculture: Agriculture, dairy, and related livelihoods are non-negotiable, as they impact millions of Indians.
9. Modi's Statement: PM Modi has reaffirmed that India won't compromise on the interests of farmers, livestock rearers, and fisherfolk.
10. Russian Oil Imports: India's purchase of discounted Russian oil has helped stabilize energy prices, benefiting national energy security.
11. Trump's Opposition to Russian Trade: Trump is trying to discourage trade with Russia, linking it to his desire to end the Ukraine conflict by weakening Putin.
12. Decline in Russian Oil Imports: India's imports of Russian oil fell 24% in July, reflecting the growing complexity of maintaining this energy partnership.
13. India-First Policy: Delhi must base its energy and trade decisions on domestic cost-benefit analysis, not external pressure.
14. Growth Impact: According to Goldman Sachs, the new tariffs could reduce India's GDP growth by 0.6 percentage points.
15. Sovereign Trade Choices: Decisions on trade partners or alliances (like BRICS) must be India's sovereign choice and kept separate from bilateral trade talks.

Practice Exercise: Banking Pattern Based



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